

2.8 CHARACTERISTIC OF KITCHEN PHASE

In the previous section, we discussed the kitchen phase, early traction, traction, and growth. You also discussed that a startup generally needs to go through the kitchen phase on its own before it is ready to raise external capital. After that, they raise subsequent rounds as the business grows. We have seen how fundraising revolves around comfort that investors have around the investment. More the traction, higher the comfort. Kitchen phase is generally the stage where the investor will have least amount of comfort.

As we have discussed, everything depends on how comfortable they are with your business idea. If they are comfortable with your business idea, they will go ahead with it else they will pass. Also, the investors know their side of mathematics. The investors know that most of their profits will come from 1 or 2 companies of every 10 companies they invest in. They also know that every company that they pick won't be very successful in the future.

